

4.

CASE #	CASE NAME	HEARING NAME
CVPS2601066	DOUBLE EYE, LLC., A CALIFORNIA LIMITED LIABILITY COMPANY VS GOTTLIEB	DEMURRER ON 1ST AMENDED COMPLAINT OF DOUBLE EYE, LLC, BY WAYNE A. GOTTLIEB, GOTTLIEB INCOME TAX SERVICES, A SOLE PROPRIETORSHIP

Tentative Ruling: Sustained and overruled in part.

Sustained with leave to amend as to 1st cause of action. Plaintiff granted leave to file a 2nd Amended Complaint within 10 days of this order becoming final. If a 2nd Amended Complaint is not filed within 10 days, moving defendant is ordered to file their answer to the remaining causes of action in the 1st Amended Complaint within 20 days of this order becoming final.

Moving defendant to provide notice pursuant to CCP 1019.5.

This is a fraud action filed February 3, 2026 by Plaintiff Double Eye, LLC against Defendants Wayne Gottlieb and Gottlieb Income Tax Services alleging 8 causes of action for 1) fraud/intentional misrepresentation, 2) constructive fraud, 3) breach of fiduciary duty, 4) conversion, 5) violation of Penal Code section 496, 6) common count, 7) restitution/unjust enrichment, and 8) accounting. Thereafter on May 12, 2026, Double Eye filed as a matter of right a First Amended Complaint realleging the same 8 causes of action.

Defendants Gottlieb demur and move to strike portions of the FAC.

Defendants Gottlieb demur to the 1st, 2nd, 4th, and 5th causes of action on the grounds that the FAC fails to set forth facts sufficient to constitute a cause of action against them.

In opposition, Double Eye asserts that FAC alleges that Defendants exercised exclusive control over Plaintiff's finances and accounting records, caused hundreds of thousands of dollars to be transferred to themselves, concealed Plaintiff's financial information, refused to provide an accounting, and thereby prevented Plaintiff from determining the full extent of the misappropriation. Those allegations are more than sufficient to state each challenged cause of action. At the pleading stage, Plaintiff is required only to allege facts constituting the causes of action, not to prove them. Moreover, under the facts of this case, Defendants should not be allowed to rely on and benefit from their own wrongful concealment of Plaintiff's accounting records as the basis for arguing Plaintiff lacks sufficient specificity at the pleading stage.

In reply, Gottliebs asserts that Double Eye misconstrues the pleading standard applicable to the four causes of action. The Gottliebs assert that even if Plaintiffs are not in possession of all of the facts it still bears the burden of pleading specific facts to establish the causes of action. Plaintiff's allegations are of only the ultimate facts with vague generalities to support those facts. This is insufficient when alleging a cause of action premised on fraud. From Plaintiff's own allegations, Plaintiff has specific information regarding how it arrived at its allegations premised only on information and belief, that the Defendants acted improperly, which Plaintiff has failed to allege in the FAC.

Demurrer

To withstand a demurrer the complaint must contain "a statement of the facts constituting the cause of action, in ordinary and concise language." (C.C.P. § 425.10.) "[T]he complaint need only allege facts sufficient to state a cause of action, each evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged. (*C.A. v. William S. Hart Union High School*

Dist. (2012) 53 Cal.4th 861, 872.) Generally a plaintiff need only plead facts necessary “to acquaint a defendant with the nature, source and extent of his claims.” (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-550.) On demurrer the court must assume the truth of all facts properly pled, facts that may be implied or reasonably inferred from the facts expressly alleged, and evidentiary facts that are in exhibits attached to the complaint. (*Evans v. City of Berkeley* (2006) 38 Cal.4th 1, 6.) The court’s task is to treat well-pleaded allegations in the complaint as true and determine whether the complaint states facts sufficient to constitute a cause of action. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “The hearing on demurrer may not be turned into a contested evidentiary hearing through the guise of having the court take judicial notice of affidavits, declarations, depositions, and other such material which was filed on behalf of the adverse party and which purports to contradict the allegations and contentions of the plaintiff.” (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 605; *Joslin v. H.A.S. Ins. Brokerage* (1986) 184 Cal.App.3d 369, 374-375.)

In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) In ruling on a demurrer, the court may take into account only the challenged pleading and matters subject to judicial notice under E.C. §§451, 452. (C.C.P. §§430.30(a), 430.70; *Gould v. Maryland Sound Indus., Inc.* (1995) 31 Cal.App.4th 1137, 1144.) The sole issue raised by a demurrer is whether the facts pleaded state a valid cause of action, not whether they are true. Thus, no matter how unlikely or improbable, the plaintiff’s allegations must be accepted as true for the purposes of the demurrer. (*Requa v. Regents of University of California* (2012) 213 Cal.App.4th 213, 223 (citing *Del E. Webb Corp. v. Structural Material Co.* (1981) 123 Cal.App.3d 593, 604).) However, a demurrer does not admit contentions, deductions or conclusions of fact or law. (*Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

1st Cause of Action - Intentional Misrepresentation

The elements of intentional misrepresentation are: (a) misrepresentation, (b) knowledge of falsity (or scienter), (c) intent to defraud, (d) justifiable reliance, and (e) resulting damage. (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951.) Fraud must be pled with specificity; the plaintiffs must allege facts which “show how, when, where, to whom, and by what means the representations were tendered.” (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73, quoting *Hills Trans. Co. v. Southwest* (1968) 266 Cal.App.2d 702, 707.)

Here, the FAC fails to state sufficient facts to constitute a cause of action for intentional misrepresentation. Specifically, the FAC, page 6, paragraphs 24-30 do not meet the heightened pleading standard for fraud via intentional misrepresentation.

2nd Cause of Action for Constructive Fraud

Civil Code §1573 provides that constructive fraud exists “[i]n any breach of duty which, without an actually fraudulent intent, gains an advantage to the person in fault, or any one claiming under him, by misleading another to his prejudice, or to the prejudice of any one claiming under him.” “Constructive fraud, like actual fraud, must be pleaded with specificity.” (*Schauer v. Mandarin Gems of Cal., Inc.* (2005) 125 Cal.App.4th 949, 961.) Here, the FAC sufficiently states facts to state a claim for constructive fraud through failure to maintain accurate books and refusing to return financial records. **OVERRULED.**

3rd Cause of Action for Conversion

Conversion is a strict liability tort, whose elements are: (1) the plaintiff’s ownership or right to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of

property rights, and (3) damages. (*Burlesci v. Petersen* (1998) 68 Cal.App.4th 1062, 1066.) “Conversion” consists of any act of dominion wrongfully exercised over personal property of another inconsistent with, or in denial of, his rights thereto. (*Zaslow v. Kroenert* (1946) 29 Cal.2d 541.) Here, the FAC sufficiently states a cause of action for conversion for the same reasons as sufficiently pleading constructive fraud. **OVERRULED.**

4th Cause of Action for Violation of Penal Code Section 496

Section 496 extends to property “that has been obtained in any manner constituting theft.” Penal Code § 484 describes acts constituting theft, and states, in part: “Every person who shall feloniously steal, take, carry, lead, or drive away the personal property of another, or who shall fraudulently appropriate property which has been entrusted to him or her, or who shall knowingly and designedly, by any false or fraudulent representation or pretense, defraud any other person of money, labor or real or personal property, or who causes or procures others to report falsely of his or her wealth or mercantile character and by thus imposing upon any person, obtains credit and thereby fraudulently gets or obtains possession of money, or property or obtains the labor or service of another, is guilty of theft.” (Penal Code § 484(a).) Thus, §484 defines theft to include theft by false pretenses. (*Bell v. Feibush* (2013) 212 Cal.App.4th 1041, 1048 (defendant used false pretenses to induce a loan of \$202,500 and judgment in civil court was issued against him for breach of contract, fraud and treble damages pursuant to § 496(c).) Here, the FAC sufficiently states a cause of action for a violation of Penal Code section 496 in the exact amount of \$639,940.00. **OVERRULED.**

5.

CASE #	CASE NAME	HEARING NAME
CVPS2601066	DOUBLE EYE, LLC., A CALIFORNIA LIMITED LIABILITY COMPANY VS GOTTLIEB	MOTION TO STRIKE 1ST AMENDED COMPLAINT OF DOUBLE EYE, LLC, BY WAYNE A. GOTTLIEB, GOTTLIEB INCOME TAX SERVICES, A SOLE PROPRIETORSHIP

Tentative Ruling: Denied.

Responding party to provide notice pursuant to CCP 1019.5.

This is a fraud action filed February 3, 2026 by Plaintiff Double Eye, LLC against Defendants Wayne Gottlieb and Gottlieb Income Tax Services alleging 8 causes of action for 1) fraud/intentional misrepresentation, 2) constructive fraud, 3) breach of fiduciary duty, 4) conversion, 5) violation of Penal Code section 496, 6) common count, 7) restitution/unjust enrichment, and 8) accounting. Thereafter on May 12, 2026, Double Eye filed as a matter of right a First Amended Complaint realleging the same 8 causes of action.

Defendants move to strike the following portions of the FAC:

1. Page 6, lines 26-27: “30. GOTTLIEB acted with oppression, fraud, and malice, entitling Plaintiff to punitive damages pursuant to Civil Code section 3294;”
2. Page 9, line 14, Prayer, ¶2 “for treble damages pursuant to Penal Code section 496;”
3. Page 9, lines 15, Prayer ¶3: “for Punitive and exemplary damages.”
4. Page 9, lines 16, Prayer ¶4: “[...] restitution [...]”
5. Page 9, line 18, Prayer ¶6: “[...] attorneys fees [...]”